

4. Insurance

As you start paying the mortgage, only a small portion of your payments go toward equity (Principal) for a seriously-long time. Principal is the equity that you're building on the home. The other 3 expenditures are well, expenditures - down the drain. While you may get some relief on the taxes front in the form of 80C and section 24 deductions, it is still expenditure that you wouldn't incur if you were renting. Let's see the payment plan in detail with the amortization (loan repayment) schedule to further the point.

Amortization schedule excel sheet

Monthly Schedule							Annual Schedule				
Month	Loan Disbursement	Floating rate*	EMI	Interest	Principle	Balance	Year	Total Emi	Total Interest	Total Principal	Year-end balance
0	4000000					4000000	1	463210	397021	66190	3933810
1	0	10%	38601	33333	5268	3994732	2	463210	390090	73120	3860690
2	0	10%	38601	33289	5311	3989421	3	463210	382433	80777	3779913
3	0	10%	38601	33245	5356	3984065	4	463210	373975	89236	3690677
4	0	10%	38601	33201	5400	3978665	5	463210	364631	98580	3592098
5	0	10%	38601	33156	5445	3973220	6	463210	354308	108902	3483195
6	0	10%	38601	33110	5491	3967729	7	463210	342905	120306	3362890
7	0	10%	38601	33064	5536	3962193	8	463210	330307	132903	3229986
8	0	10%	38601	33018	5583	3956610	9	463210	316390	146820	3083166
9	0	10%	38601	32972	5629	3950981	10	463210	301016	162194	2920972
10	0	10%	38601	32925	5676	3945305	11	463210	284033	179178	2741795
11	0	10%	38601	32878	5723	3939581	12	463210	265270	197940	2543855
12	0	10%	38601	32830	5771	3933810	13	463210	244543	218667	2325188
13	0	10%	38601	32782	5819	3927991	14	463210	221646	241564	2083623
14	0	10%	38601	32733	5868	3922124	15	463210	196351	266859	1816764
15	0	10%	38601	32684	5917	3916207	16	463210	168408	294803	1521961
16	0	10%	38601	32635	5966	3910241	17	463210	137538	325673	1196289
17	0	10%	38601	32585	6016	3904226	18	463210	103436	359775	836514
18	0	10%	38601	32535	6066	3898160	19	463210	65763	397448	439066
19	0	10%	38601	32485	6116	3892044	20	463210	24145	439066	0

During the first ten years of loan payment,

- The equity you've built on the home: 10.7L
- The amount of interest you've paid: 35.5L